

EMERGING DEFENSE TECHNOLOGY SECTOR ANALYSIS

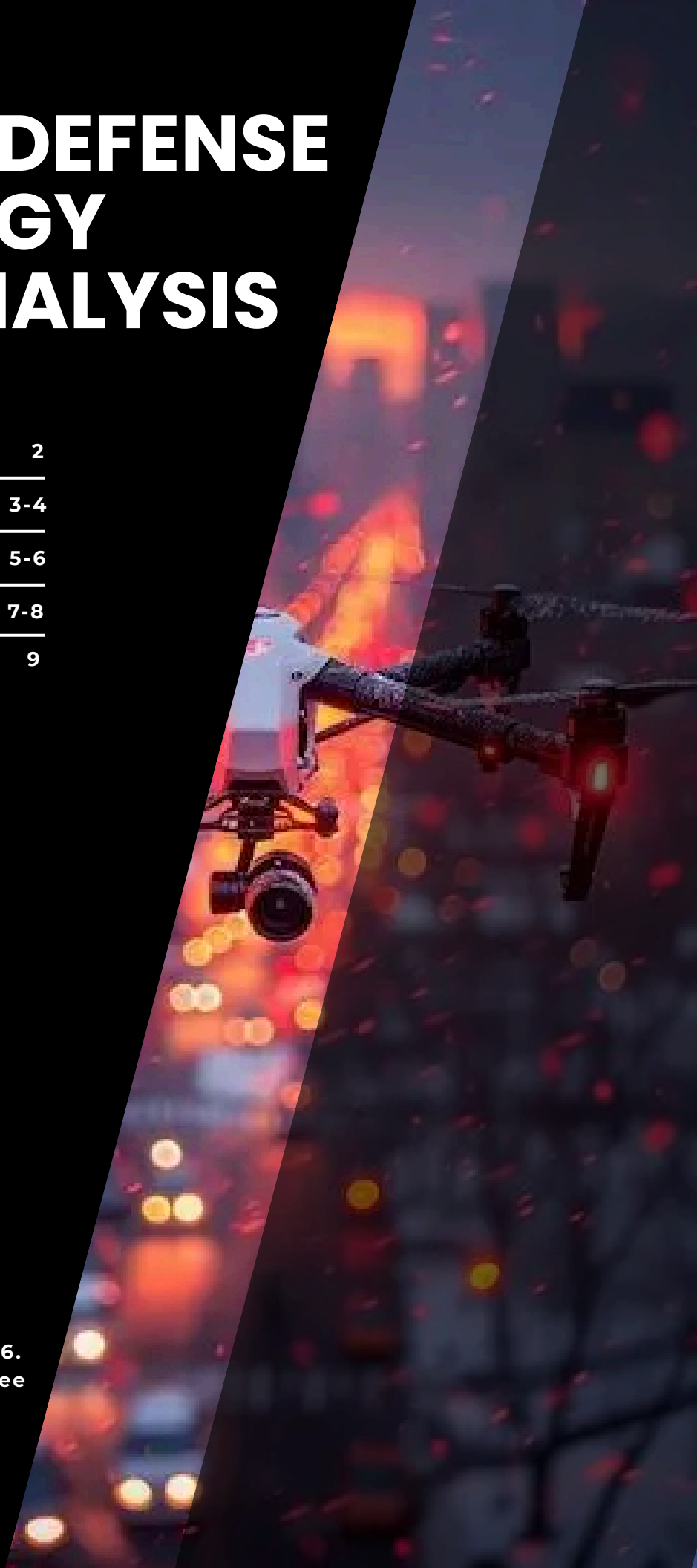
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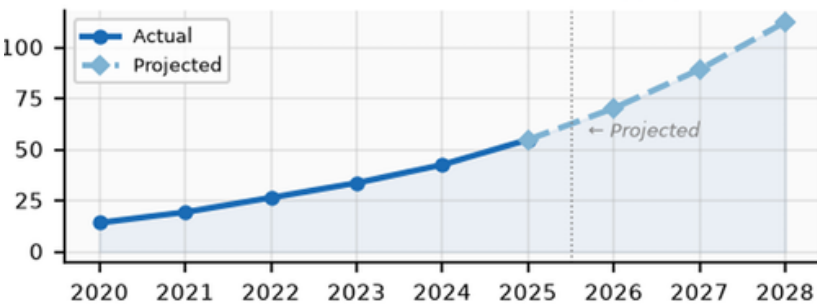


As of July 16, 2026, the market is experiencing a slight pullback from the highs we saw earlier this year. Because of that, I am personally building a larger cash position and waiting for better opportunities. That said, I am writing this report to express my views on an industry that I will be closely watching once the market begins trending upward again.

I have discussed my investing style many times before. Because of my age, I consider myself a small-cap investor at heart. Personally, I have never fully understood why younger investors allocate the majority of their portfolios to market giants such as Nvidia, Tesla, Microsoft, or Apple when emerging industries and small-cap companies can offer significantly greater upside potential. After all, every large-cap company that dominates the market today started as a small company with an ambitious vision.

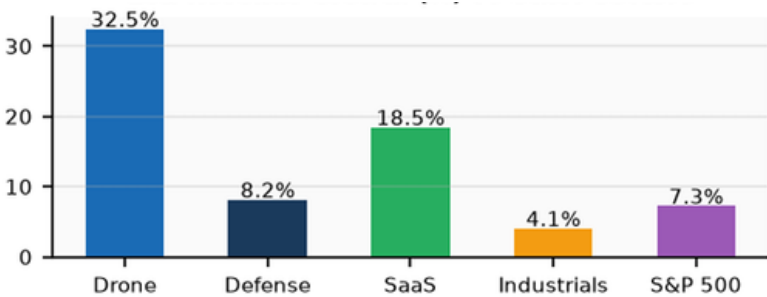
While investing in smaller companies comes with greater risk, it also creates the possibility for outsized returns that are often difficult to achieve with already established trillion-dollar businesses. For that reason, I am constantly searching for companies operating in growing industries with the potential to become tomorrow's market leaders. In this report, I will examine three companies within the rapidly expanding drone and autonomous systems industry that I believe deserve investors' attention.

Global Drone Market Size (\$B)

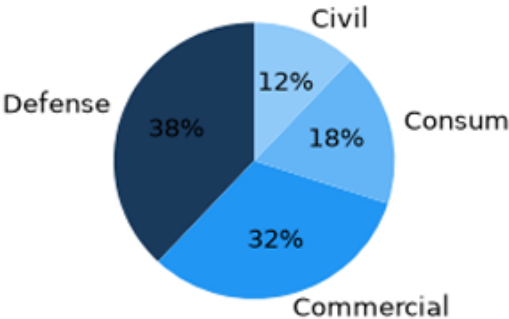


When it comes to emerging industries, I believe the drone sector offers some of the most attractive long-term opportunities in today's market. While ongoing geopolitical conflicts have accelerated demand, the bigger story is the rapid adoption of autonomous systems, AI, surveillance technology, communications networks, and counter-drone solutions across both military and civilian markets. The U.S. government continues to prioritize this space, with initiatives such as the Defense Autonomous Warfare Group (DAWG) reportedly receiving funding measured in the tens of billions, including a proposed \$54.6 billion allocation focused on autonomous warfare technologies.

Est. Revenue Growth (%) vs Other Sectors



2026 Segments

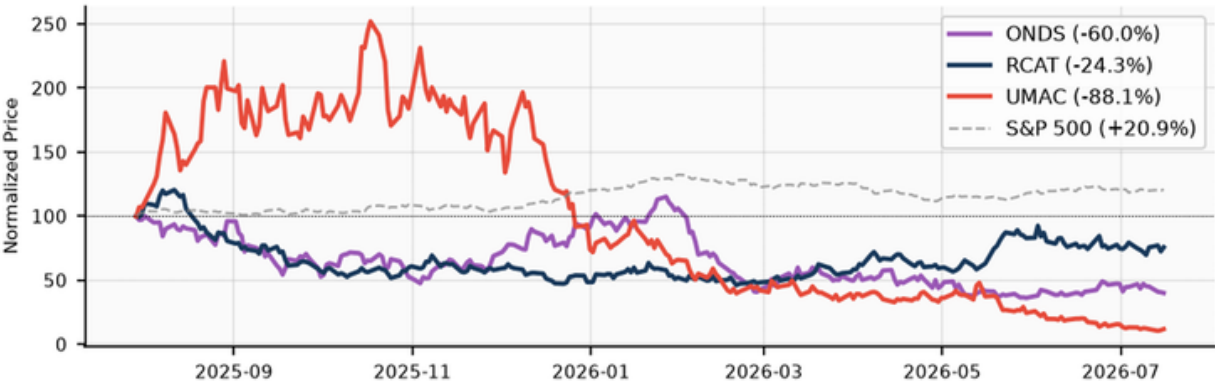


Key Metrics



Drones are also no longer limited to the battlefield. They are increasingly being used in border security, public safety, critical infrastructure, airports, energy facilities, and industrial operations. At the same time, strategic relationships such as Ondas' partnership with Palantir, UMAC's growing ties with the U.S. Department of Defense, and even Donald Trump Jr.'s involvement with Unusual Machines highlight the increasing attention and investment flowing into the sector.

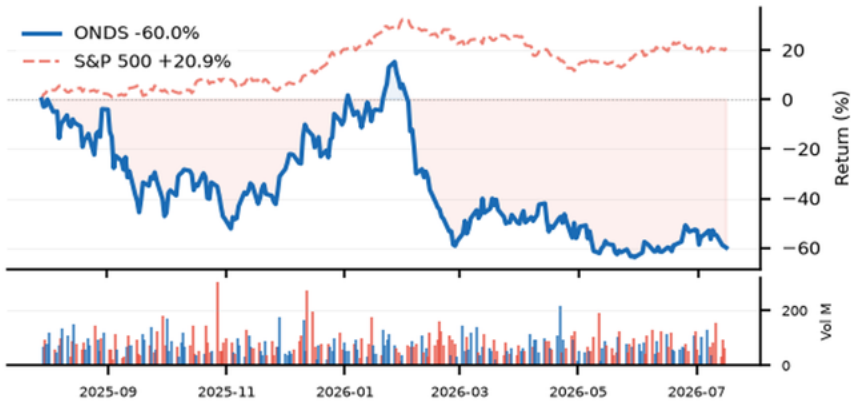
Assessing the Investment Opportunity in ONDS, RCAT, and UMAC



ONDAS INC. (ONDS)

AUTONOMOUS UAV & COUNTER-DRONE SYSTEMS

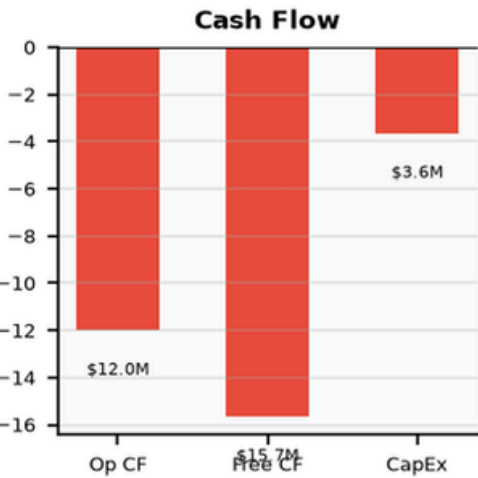
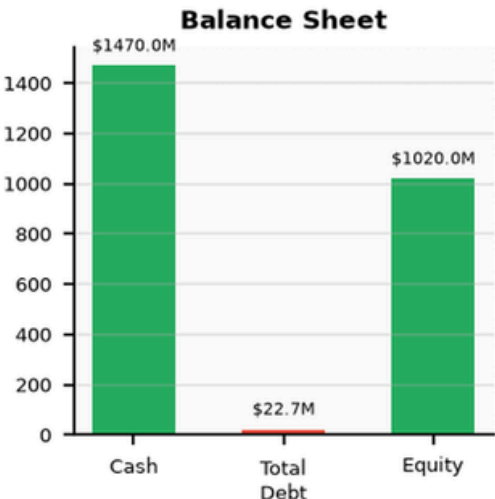
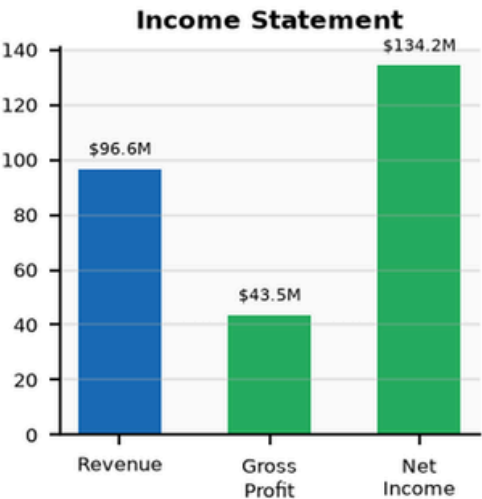
\$6.96 \$0.40 (5.43%) AS OF JULY 15, 2026 CLOSE



PRICE PERFORMANCE JUL 29, 2025 — JUL 15, 2026 ONDS \$6.96 (-60.0%) S&P; 500 (+20.9%)

At first glance, Ondas doesn't look like a great investment when you compare its recent performance to the broader market. However, it's important to remember that you typically don't strike gold or generate life-changing returns by investing in already mature, fully developed companies. Higher-growth opportunities often come with more risk, and Ondas is a good example of that. As a result, existing shareholders have experienced dilution as the company has issued additional shares to raise money. While dilution is never ideal, management appears to be betting that the capital raised today will help position the company for larger opportunities in the future.

ONDS - FINANCIAL HIGHLIGHTS (\$M)



Looking at Ondas' financial highlights, the company is clearly still in the growth and development stage rather than operating like a mature, consistently profitable business. Revenue came in at approximately \$96.6 million, generating \$43.5 million in gross profit, which shows the company is capable of generating meaningful sales and maintaining healthy margins on its products and services.

The balance sheet is arguably the strongest part of the story. Ondas reported roughly \$147 million in cash compared to only \$22.7 million in total debt, giving the company significant financial flexibility. With more than \$102 million in shareholder equity, the balance sheet appears well-capitalized and provides resources for future expansion, product development, and potential acquisitions.

On the other hand, the cash flow statement highlights the risks investors need to consider. Operating cash flow remained negative at approximately -\$12 million, while free cash flow was even lower at around -\$15.7 million. This indicates that the company is still spending more cash than it generates from its core operations. Capital expenditures of roughly \$3.6 million further reflect management's continued investment in future growth initiatives.



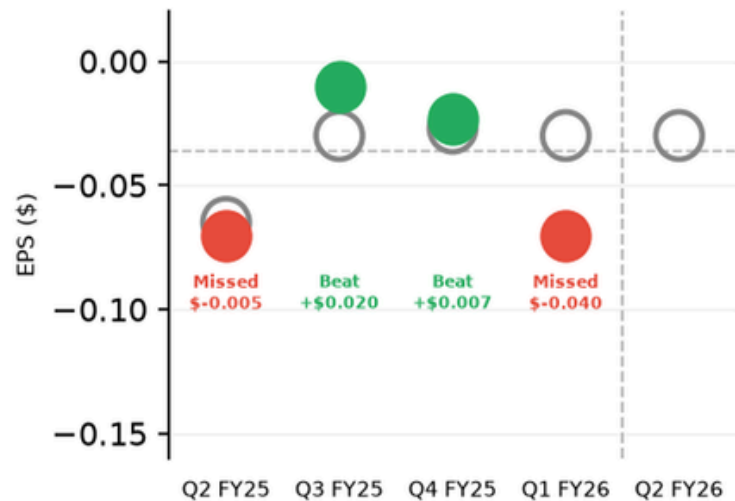
EV	P/E (TTM)	Fwd P/E
\$2.73B	77.5	50.8
Rev Growth	P/S	P/B
85.0%	23.67	3.90

EARNINGS & ANALYST INSIGHTS

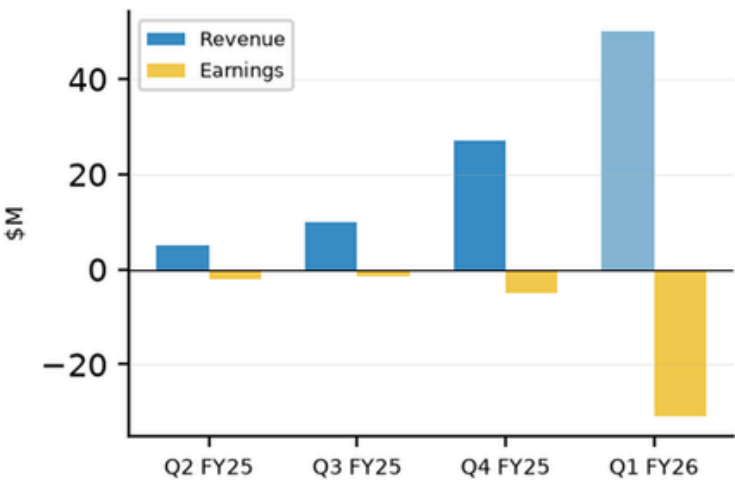
Earnings per share (EPS) and analyst recommendations are often among the first metrics investors look at, so I thought they were worth including. That said, I personally view them as some of the least important factors when evaluating a company like Ondas. EPS is currently heavily influenced by the company's growth investments, acquisitions, and capital raises, making it less representative of its long-term potential.



Earnings Per Share - Estimate v Actual

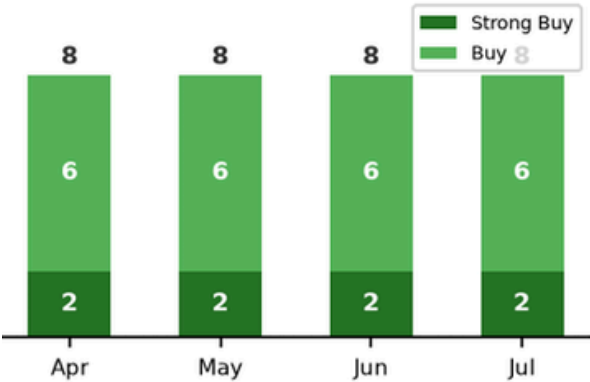


Revenue vs. Earnings (Quarterly, \$M)

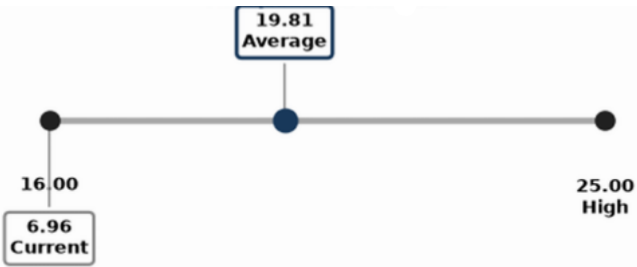


Similarly, analyst ratings can provide useful insight, but they are ultimately opinions that can change quickly. For a small, growth-focused company like Ondas, I believe future execution, partnerships, contract wins, and technology adoption will have a much greater impact on shareholder returns than short-term earnings estimates or analyst price targets

Analyst Recommendations (Monthly)



Analyst Price Targets



STRATEGIC PARTNERSHIPS



PALANTIR TECHNOLOGIES INC

Announced in March 2025, the collaboration allows Ondas Autonomous Systems to leverage Palantir's Foundry platform, which is widely used for data integration, artificial intelligence, and operational decision-making.



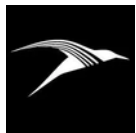
KLEAR INC

Klear provides financial solutions designed to help growth companies access non-dilutive working capital. Under the agreement, Klear became Ondas' preferred working capital finance partner across its subsidiaries, affiliates, and future acquisitions.



DZYNE TECHNOLOGIES

While technically an acquisition rather than a partnership, DZYNE is a major strategic addition because it brings military drone systems, surveillance platforms, and counter-drone technologies that substantially expand Ondas' defense footprint.



RED CAT HOLDINGS, INC. (RCAT)

MILITARY UAV & TACTICAL DRONE SOLUTIONS

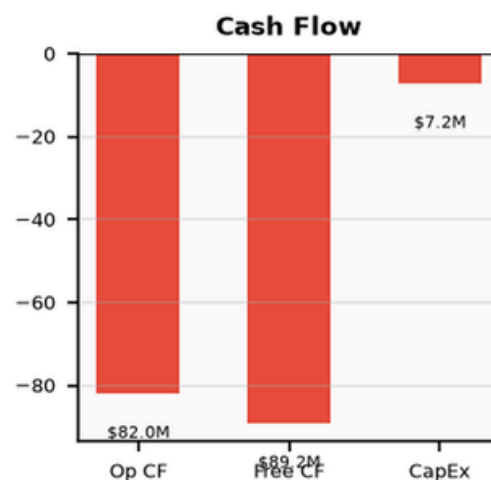
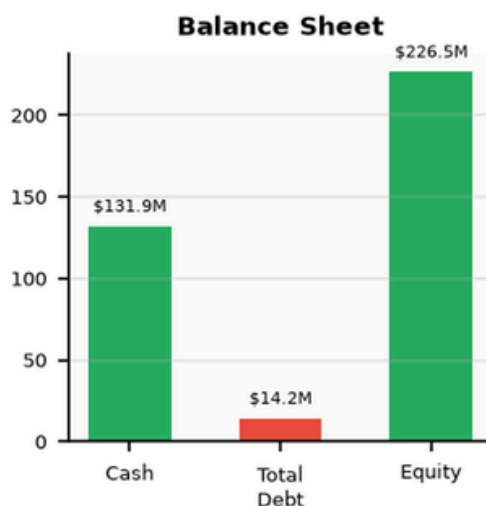
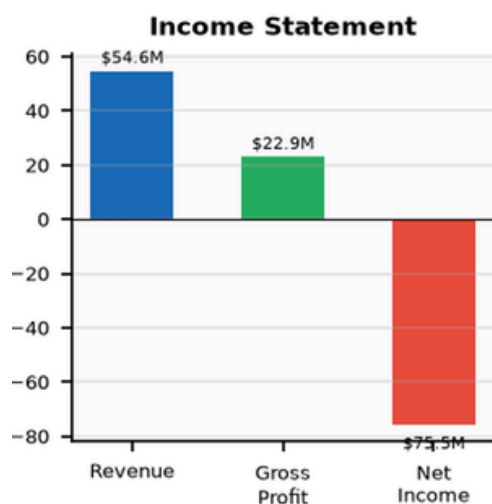
\$8.35 **\$0.44** **(5.01%)** AS OF JULY 15, 2026 CLOSE



PRICE PERFORMANCE JUL 29, 2025 — JUL 15, 2026 RCAT \$8.35
(-24.3%) S&P; 500 (+20.9%)

Like Ondas, Red Cat isn't without risk, but the investment thesis is centered more on future growth potential than on current financial performance. The company has positioned itself as a supplier of tactical unmanned aerial systems for government and military customers, a market that has received increased attention due to geopolitical tensions and the growing importance of drone technology on the modern battlefield. While Red Cat is no longer a micro-cap company, I still view it as a relatively small player compared to major defense contractors and aerospace companies. With a market capitalization of roughly \$1.2 billion, the company remains in a stage where meaningful contract wins and increased production could have a significant impact on revenue and investor sentiment.

RCAT - FINANCIAL HIGHLIGHTS (\$M)



Looking at Red Cat's financials, I see a company that is still focused on growth rather than profitability. The company generated approximately \$54.6 million in revenue and \$22.9 million in gross profit, showing that demand for its drone systems continues to grow and that it is building a presence within the defense drone market.

The balance sheet is one of Red Cat's strongest areas. The company finished the period with roughly \$131.9 million in cash and only \$14.2 million in total debt, giving management flexibility to invest in production, product development, and future expansion opportunities. On the other hand, profitability remains a challenge. Red Cat reported a \$75.5 million net loss, along with -\$82 million in operating cash flow and -\$89.2 million in free cash flow, reflecting the costs of scaling operations and expanding its position in the defense drone market.

Personally, I don't view Red Cat as an investment based on its current earnings. I think the real opportunity lies in the growing demand for military and defense-focused drone technology. The company's strong cash position gives it time to execute its strategy, but long-term success will depend on turning today's investments into larger contracts, stronger revenue growth, and eventually profitability.

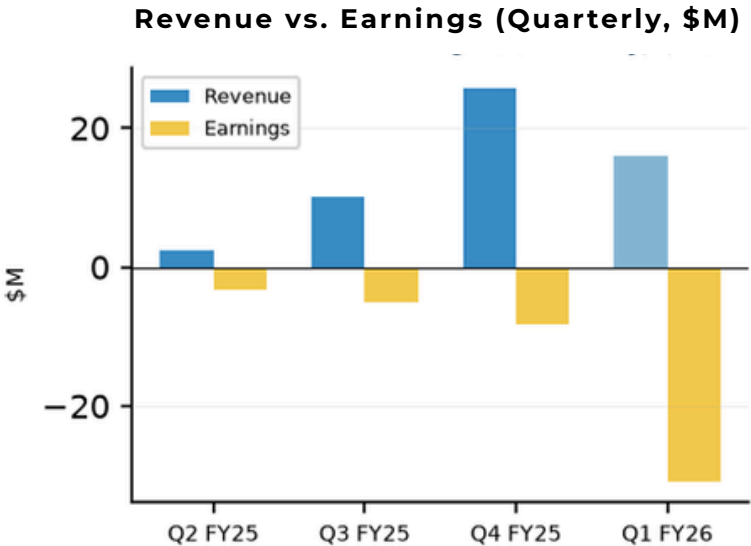
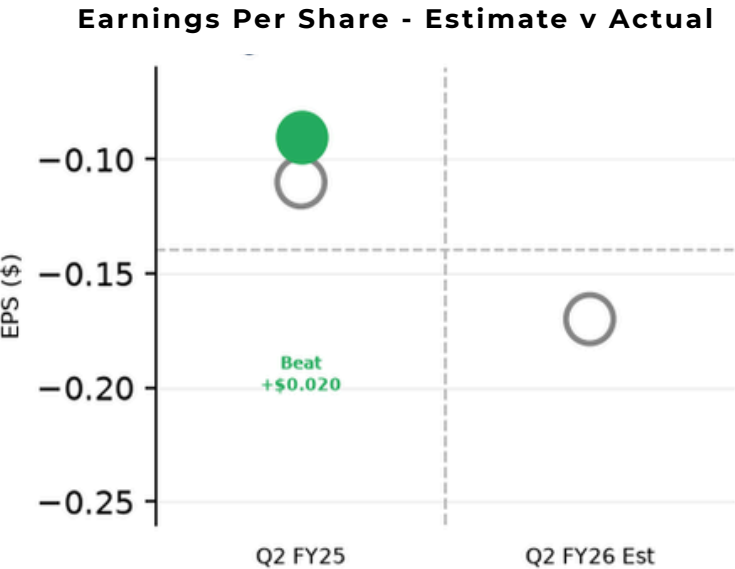


EV	P/E (TTM)	Fwd P/E
\$1.22B	N/A	N/A
Rev Growth	P/S	P/B
145.0%	17.37	5.61

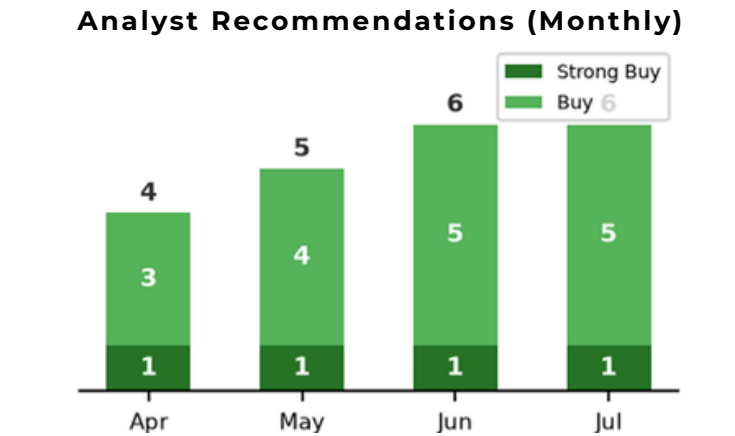
EARNINGS & ANALYST INSIGHTS



Personally, I don't place much weight on short-term EPS results for a company like Red Cat. What stands out to me is the rapid revenue growth and the fact that management appears focused on capturing market share in the rapidly growing defense drone industry. As long as revenue continues to trend upward and the company secures additional contracts, I believe the path to profitability is more important than any single quarterly earnings report.



Analyst sentiment toward Red Cat remains overwhelmingly positive, with all six tracked analysts currently rating the stock as either a Buy or Strong Buy. In addition, the average analyst price target sits around \$22 per share, compared to the current share price of roughly \$8.35, suggesting analysts see significant upside if the company continues executing on its growth strategy.



STRATEGIC PARTNERSHIPS

SPETSTECHNOEXPORT (STE)

Announced in March 2026, the partnership is focused on accelerating the development and deployment of next-generation unmanned and robotic systems across air, land, and maritime domains. The agreement provides a framework for technology integration, production expansion, and cooperation between U.S. and Ukrainian defense innovators.



PALLADYNE AI

This is arguably Red Cat's most important recent partnership. Palladyne AI's software is being integrated into Red Cat's Teal drones to enhance autonomous operations, object tracking, navigation, and multi-drone collaboration. The partnership was later expanded to include joint sales and marketing efforts, showing a deeper strategic relationship between the two companies.



TOMAHAWK ROBOTICS

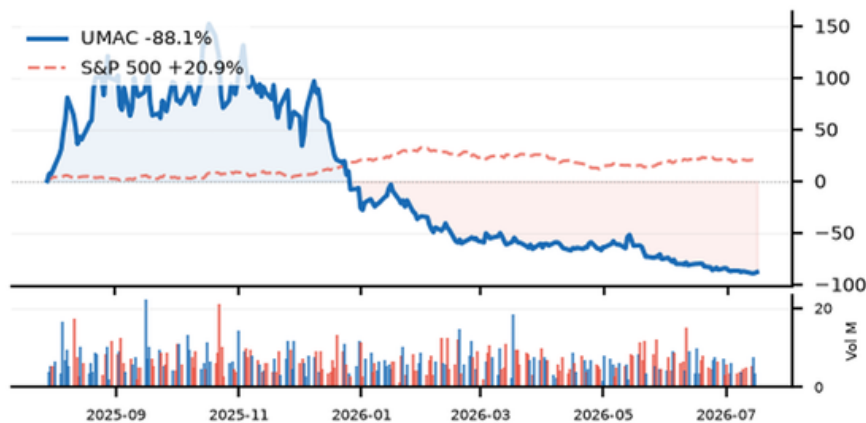
Red Cat's Teal Drones subsidiary partnered with Tomahawk Robotics to integrate its Kinesis command-and-control platform into Teal's drone systems. This allows military users to control both aerial and ground-based unmanned systems from a single interface, improving battlefield coordination and situational awareness.



UNUSUAL MACHINES, INC. (UMAC)

DRONE COMPONENTS & FPV TECHNOLOGY

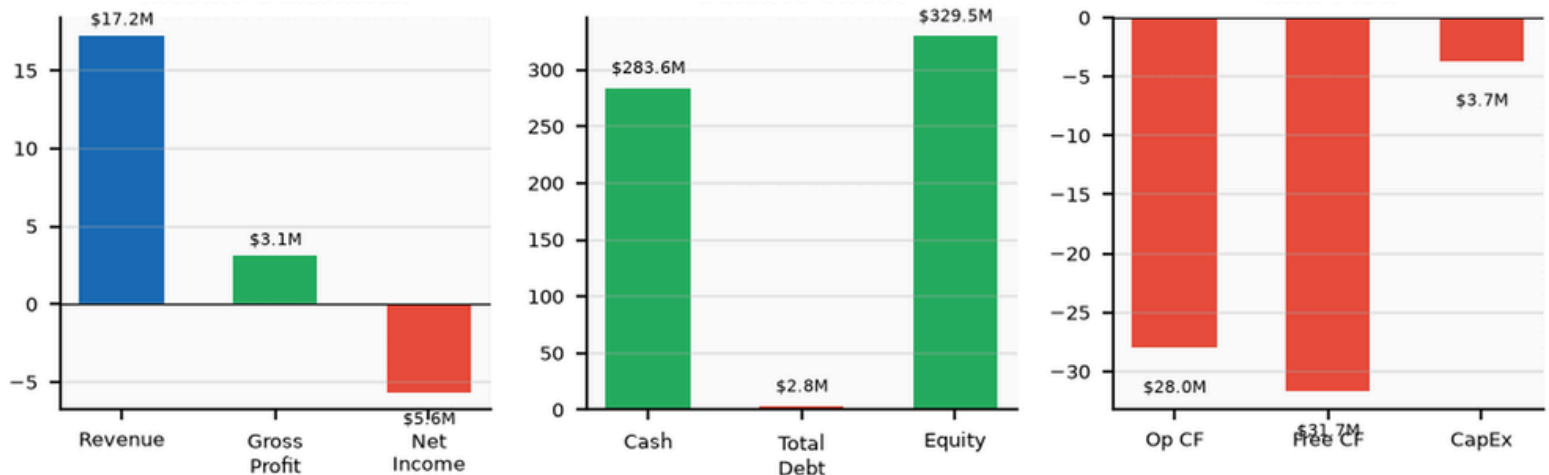
\$18.55 **\$0.13** **(0.70%)** AS OF JULY 15, 2026 CLOSE



PRICE PERFORMANCE JUL 29, 2025 — JUL 15, 2026 UMAC \$18.55 (-88.1%) S&P; 500 (+20.9%)

Unlike companies such as Ondas and Red Cat that primarily sell complete drone systems, UMAC is positioning itself as a supplier to the broader drone ecosystem and aims to benefit from increasing demand for domestically produced drone components. The company is currently focused on producing U.S.-made drone components, including motors, batteries, FPV systems, flight controllers, and other critical hardware used in commercial and defense drones. As for the stock's decline, I think much of it can be explained by expectations getting ahead of reality. UMAC experienced a massive run-up as investors became excited about the company's exposure to the growing drone and defense industries. In my opinion, the decline does not necessarily reflect a broken business model.

UMAC - FINANCIAL HIGHLIGHTS (\$M)



UMAC stands out to me as a company focused almost entirely on expansion. While revenue currently sits at approximately \$17.2 million, the real story is the company's explosive 280% revenue growth, which suggests management is successfully capitalizing on the increasing demand for U.S.-made drone components and technology.

What I find most impressive is the strength of the balance sheet. UMAC holds roughly \$283.6 million in cash against just \$2.8 million in debt, leaving the company with plenty of resources to fund growth initiatives, expand manufacturing capacity, and pursue strategic acquisitions.

Of course, the company is not without its challenges. UMAC reported a net loss of about \$5.6 million and continues to generate negative operating and free cash flow as it invests heavily in scaling the business. However, compared to many growth companies, the losses appear manageable given the amount of cash on hand.

The chart also paints an interesting picture. Growth is clearly UMAC's strongest category, while quality scores remain solid and sentiment appears more neutral. At an enterprise value of roughly \$612 million, investors are already assigning meaningful value to the company's future potential, meaning continued execution and growth will be critical going forward.

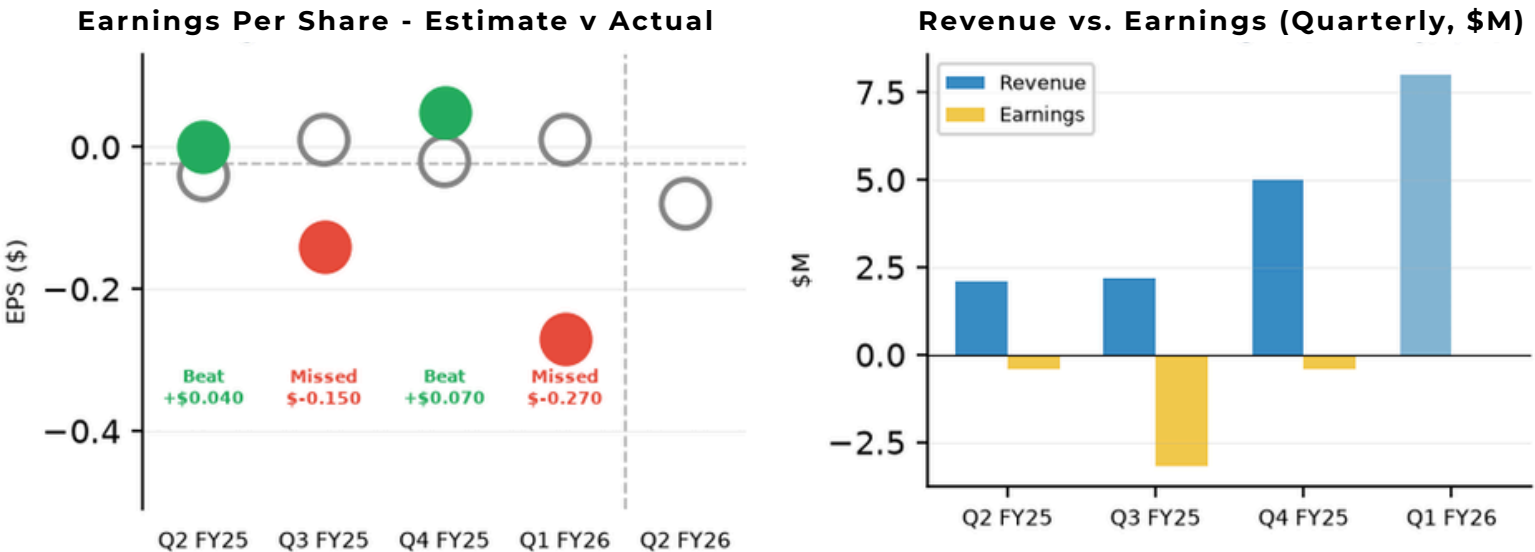


EV	P/E (TTM)	Fwd P/E
\$612.52M	N/A	68.0
Rev Growth	P/S	P/B
280.0%	36.89	2.69

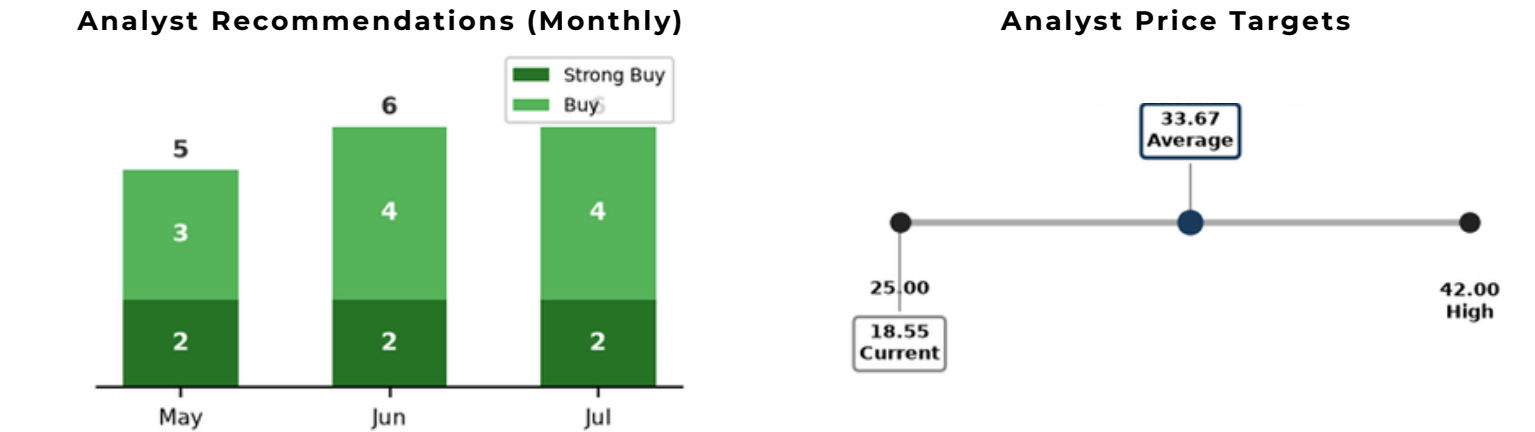
EARNINGS & ANALYST INSIGHTS



Looking at UMAC's earnings history, the results have been somewhat mixed. What stands out more to me is the revenue trend. Quarterly revenue increased from roughly \$2 million in Q2 FY25 to approximately \$8 million by Q1 FY26, showing strong momentum and supporting the company's broader growth story. While earnings have remained volatile and often negative, the steady increase in sales suggests demand for UMAC's drone components and technology continues to improve.



Analyst sentiment also remains very positive. The stock currently holds six Buy or Strong Buy ratings, with no neutral or sell recommendations shown. In addition, analysts have an average price target of approximately \$33.67, compared to a current share price around \$18.55, implying significant upside if the company continues executing on its growth strategy.



STRATEGIC PARTNERSHIPS



DONALD TRUMP JR.

The involvement of Donald Trump Jr. is one of the more unique aspects of UMAC's story. He joined the company's advisory board in November 2024 and has continued investing in the business, helping bring additional visibility to UMAC's mission of expanding domestic drone manufacturing and reducing reliance on foreign suppliers.



LANTRONIX, INC. (LTRX)

UMAC's most important strategic partnership is with Lantronix, where the two companies are developing next-generation autonomous drone components by combining Lantronix's AI and edge-computing capabilities with UMAC's flight-control and drone hardware systems.

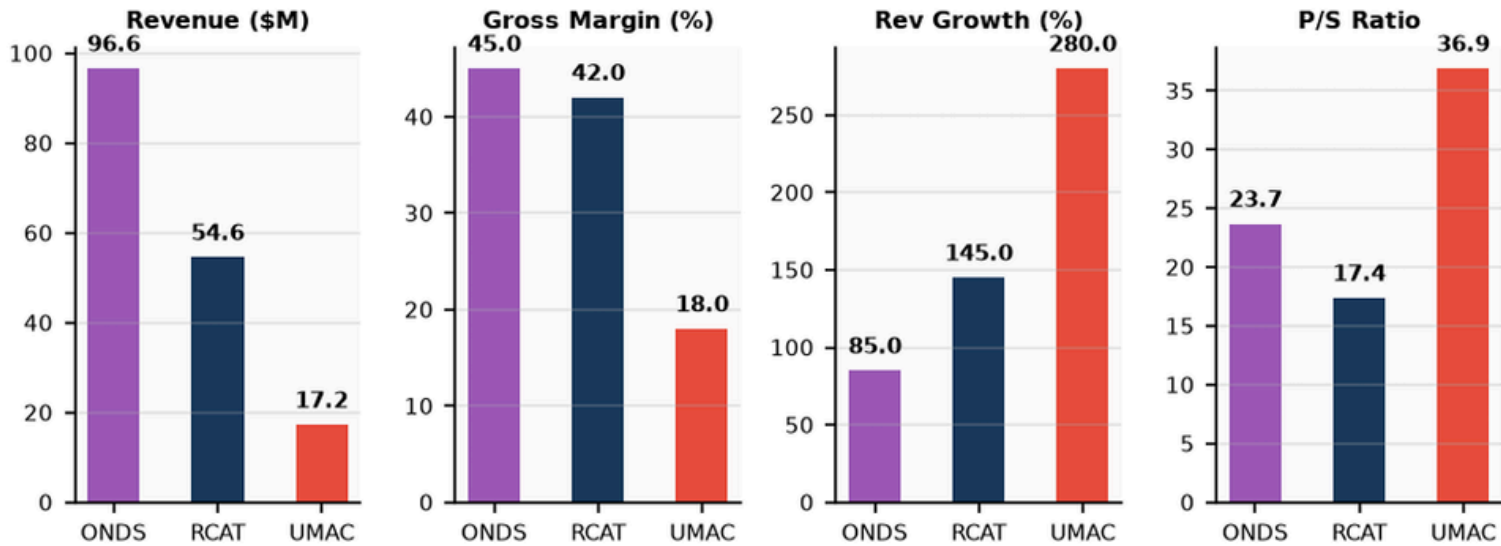


U.S. DEPARTMENT OF DEFENSE (DOD)

The company recently secured what management believes to be its largest Pentagon contract to date, with the U.S. Army selecting UMAC to supply thousands of drone motors and other critical drone components. The initial order includes approximately 3,500 components, with the Army indicating plans for an additional order of roughly 20,000 parts in the future.

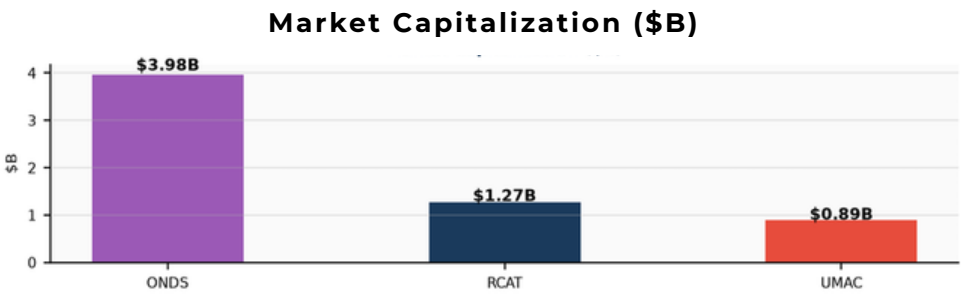


ONDS | RCAT | UMAC – Fundamental Comparison



ONDS, RCAT, and UMAC each present distinct investment characteristics. ONDS is the largest and most profitable company in the group, offering greater scale and operational stability. RCAT combines strong revenue growth with healthy margins while trading at the lowest valuation multiple, making it the most balanced opportunity from a growth, profitability, and valuation perspective. UMAC, despite its smaller size and lower margins, is experiencing the fastest revenue growth and therefore offers the greatest upside potential, albeit at a significantly higher valuation.

I consider market capitalization to be one of the most important factors when evaluating investment opportunities because it directly influences a company's potential for future appreciation. ONDS, RCAT, and UMAC currently have market capitalizations of approximately \$3.98 billion, \$1.27 billion, and \$0.89 billion, respectively. While ONDS is the largest and most established company in the group, RCAT and UMAC remain relatively small by public market standards. Smaller companies often have greater room to grow because it takes less incremental capital and investor demand to meaningfully increase their valuations and stock prices. In addition, smaller-cap companies tend to receive less attention from institutional investors, analysts, and mainstream media, creating opportunities for investors who identify strong businesses before they become widely recognized.



Risk Assessment Matrix

Risk Factor	ONDS	RCAT	UMAC	Sector
Cash Burn / Dilution	HIGH	HIGH	MED	HIGH
Profitability Timeline	HIGH	HIGH	HIGH	HIGH
Contract Concentration	MED	HIGH	LOW	MED
Regulatory / Policy	MED	LOW	HIGH	MED
Competitive Pressure	MED	HIGH	MED	MED
Volatility Risk	HIGH	MED	HIGH	HIGH
Overall Risk Rating	HIGH	MED-HIGH	HIGH	HIGH

SOURCES CONSULTED

Forbes. (2025, October 29). Donald Trump Jr., Unusual Machines, defense contracts and drones. <https://www.forbes.com/sites/zacheverson/2025/10/29/donald-trump-jr-ultimate-machines-defense-contracts-drones/>

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U.S. News & World Report. (n.d.). Best drone stocks to buy. <https://money.usnews.com/investing/articles/best-drone-stocks-to-buy>

Unusual Machines, Inc. (n.d.). Corporate website and investor information. <https://www.unusualmachines.com/>

Yahoo Finance. (n.d.). Financial market data and stock information. <https://finance.yahoo.com/>

DATA SOURCES AND METHODOLOGY

The financial analysis and visualizations presented in this report were compiled using publicly available company information, market data, investor relations materials, and financial databases. Revenue, market capitalization, valuation metrics, and historical stock information were obtained from company investor relations websites, Yahoo Finance, Stock Analysis, SEC filings, and other publicly available financial resources.

Charts and comparative visualizations were independently created by (Marcel Tegos) using Python-based analytical tools, including pandas for data processing, matplotlib and plotly for visualization, and reportlab for report generation. Historical stock market and company financial data were supplemented using data retrieved through the yfinance Python library and cross-referenced with publicly available financial sources where applicable.

Software and Analytical Tools

- Python
- pandas
- matplotlib
- plotly
- reportlab
- yfinance

Market Data Providers

- Yahoo Finance
- SEC EDGAR Database
- Stock Analysis
- Alpha Vantage
- Polygon.io

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